

September 11, 2026 04:01 AM GMT

CRH | North America

High-Quality Construction Exposure; Resuming at OW with \$139 PT

We resume coverage of CRH at Overweight with a \$139 PT (~53% upside). We view CRH as a high-quality way to play construction, supported by exposure to infrastructure and data centers, strong pricing power, inorganic growth opportunities, and a relatively inexpensive valuation.

We resume coverage of CRH with an Overweight rating and \$139 price target, implying ~53% upside. We view CRH as a high-quality way to play the construction thematic, with exposure to key areas of strength (i.e., infrastructure and data centers), strong pricing power, inorganic growth opportunities, and a relatively inexpensive valuation. Importantly, our constructive view is based on the combination of these attributes rather than any single catalyst. Attractive end-market exposure supports the demand outlook, pricing power provides an additional lever to capture value, the connected portfolio improves project visibility and customer relationships, inorganic growth provides another avenue for growth, and a relatively cheap valuation (~8.5x EV/EBITDA vs. historical range of 7-10x) provides for a de-risked entry point to an otherwise high quality way to gain exposure to the construction thematic. Taken together, we think this combination supports an attractive risk/reward.

High-quality exposure to the construction thematic. The quality and composition of CRH's construction exposure are central to our view. Their portfolio provides exposure to infrastructure and data centers, two key areas of strength within construction, while the breadth of the portfolio gives them multiple ways to participate across a project. We think this positioning differentiates CRH from a more traditional construction materials exposure and reduces reliance on any single construction category or project stage. In short, CRH offers investors exposure to attractive construction vectors through a broad portfolio with multiple levers to participate in underlying activity.

The connected portfolio and pricing power provide additional differentiation. While the cash flow generation aspect of the connected portfolio is important, we think it also provides less-appreciated benefits through improved project visibility and customer relationships. Data centers are a useful example: CRH has dealt more directly with customers vs. general contractors and, in some cases, entered projects as much as 3-6 months ahead of when typical aggregates are deployed, while remaining on site longer through paving work. We think the ability to engage earlier, remain involved longer, and build more direct customer relationships provides CRH with greater visibility and expands their participation across the construction

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CRH (CRH.N, CRH US)

Machinery & Construction | United States of America

Stock Rating	Overweight
Industry View	Attractive
Price target	\$139.00
Shr price, close (Sep 9, 2026)	\$89.35
Mkt cap, curr (mm)	\$62,829
52-Week Range	\$131.53-89.31

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	5.57	5.74	6.48	7.37
Prior EPS (\$) **	-	-	-	-
P/E	22.4	15.6	13.8	12.1
EPS (\$) §	5.57	5.88	6.58	7.44
Div yld (%)	1.2	1.7	1.6	1.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	(0.15)	-	(0.20)a	-	-
Q2	1.94	-	2.21a	-	-
Q3	2.27	-	2.21	-	-
Q4	1.52	-	1.52	-	-

e = Morgan Stanley Research estimates, a = Actual Company reported data

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process. Separately, strong pricing power provides another important earnings lever beyond volumes and reinforces our view that CRH is a high-quality, rather than simply cyclical, way to play construction.

Inorganic growth remains another avenue for value creation. We view inorganic growth as a logical extension of CRH's portfolio and value-creation capital allocation methodology. Although investors have grown accustomed to a bolt-on-focused approach, the Arcosa acquisition is larger and, in our view, offers a good strategic fit. The transaction would 1) solidify CRH's position as the #1 U.S. aggregates producer with pro forma >265MT of annualized U.S. production, 2) further increase their U.S. revenue mix, and 3) enhance the connected portfolio while increasing exposure to power-related and faster-growing infrastructure vectors. Arcosa's Engineered Structures business also brings long-term customer relationships and a high-quality backlog, providing greater visibility.

Valuation: We resume coverage with an Overweight rating on shares of CRH and a \$139 price target based on ~12x FY26e EV/EBITDA, a discount to pure play US aggregates players, reflecting that CRH is a conglomerate with a global footprint, and implies ~53% upside. Although we clearly remain constructive on the stock and think fair value offers ample upside, we suspect the near-term debate will continue to center on macro risks (10yr yield, residential, Iran/US conflict and impact on energy prices, etc.) as well as the strategic fit and balance sheet implications of the Arcosa deal, but fundamentally we continue to believe the intrinsic value here remains attractive.

Key Risks: 1) construction activity proving weaker than expected, including softer infrastructure or data center activity, 2) pricing power proving less durable than expected, reducing an important earnings lever, 3) headwinds stemming from higher energy prices impacting global construction growth and CRH's price/cost equation; 4) Arcosa integration, synergy realization, or first-year accretiveness falling short of expectations, and 5) inorganic growth opportunities proving less attractive or accretive than expected.

Exhibit 1: CRH 10yr EV/EBITDA (NTM)



Source: Morgan Stanley Research, Bloomberg Data

Exhibit 2: Comp Table

COMPARABLE COMPANY MULTIPLES: EV/EBITDA							
Company	2021	2022	2023	2024	2025	2026	2027
Americas Materials							
Vulcan Materials Company	22.16	17.15	16.85	19.23	18.34	15.12	13.67
Martin Marietta Materials, Inc.	21.50	16.05	16.27	17.98	18.97	14.60	12.76
Amrize Ltd					11.42	9.03	8.36
Eagle Materials Inc.	9.58	8.49	12.87	10.73	9.81	9.94	9.22
Sterling Infrastructure, Inc.	8.21	6.26	10.30	15.53	18.72	16.68	13.07
Construction Partners, Inc.	20.90	15.45	12.94	18.80	20.21	12.82	11.31
Knife River Corporation			9.75	13.44	10.27	9.02	8.35
Granite Construction Inc.	11.51	8.91	11.17	12.24	13.41	8.68	7.54
Americas Materials Average	15.65	12.05	12.88	15.42	15.14	11.98	10.53
Americas Building Solutions							
Armstrong World Industries	16.49	9.78	11.57	13.87	15.70	12.07	11.04
Home Depot, Inc.	16.81	14.17	16.23	18.50	17.65	14.32	13.67
Lowe's Companies, Inc.	13.98	11.25	12.06	15.17	15.51	11.31	11.16
Masco Corporation	12.58	9.39	12.11	12.29	11.37	10.82	10.84
Trex Company, Inc.	43.51	15.91	28.02	21.46	11.73	13.88	12.60
SiteOne Landscape Supply, Inc.	28.07	13.10	19.97	18.18	15.52	11.98	10.93
Americas Building Average	21.91	12.27	16.66	16.58	14.58	12.40	11.71
International Solutions							
Holcim Ltd	6.20	5.31	7.12	8.50	12.14	11.24	10.03
Heidelberg Materials AG	4.71	4.56	5.15	6.30	10.05	7.54	6.94
Buzzi Spa	4.60	3.70	3.77	4.50	6.89	5.32	5.03
Breedon Group PLC	8.55	5.28	5.80	7.21	5.98	6.45	6.05
Vicat SA	5.16	5.08	4.33	4.08	6.29	5.52	5.21
Compagnie de Saint-Gobain SA	6.43	4.51	5.91	7.33	7.45	6.50	6.23
Forterra Plc	8.68	4.85	8.37	8.60	7.61	6.86	6.23
Ibstock Plc	8.76	5.05	6.93	10.77	9.98	8.15	7.17
Marshalls plc	14.08	6.66	8.80	9.34	7.37	6.09	5.64
International Solutions Average	7.46	5.00	6.24	7.40	8.20	7.07	6.50

Source: Morgan Stanley Research, Factset Data

Risk Reward – CRH (CRH.N)

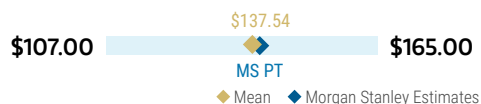
Levered to US infrastructure with M&A optionality

PRICE TARGET \$139.00

EV/EBITDA: ~12x FY26e EV/EBITDA, based on SOTP - a discount to pure play US aggregates players on ~17x, reflecting that CRH is a conglomerate with a global footprint. Note this does not include the impact of the pending Arcosa deal.

Consensus Price Target Distribution

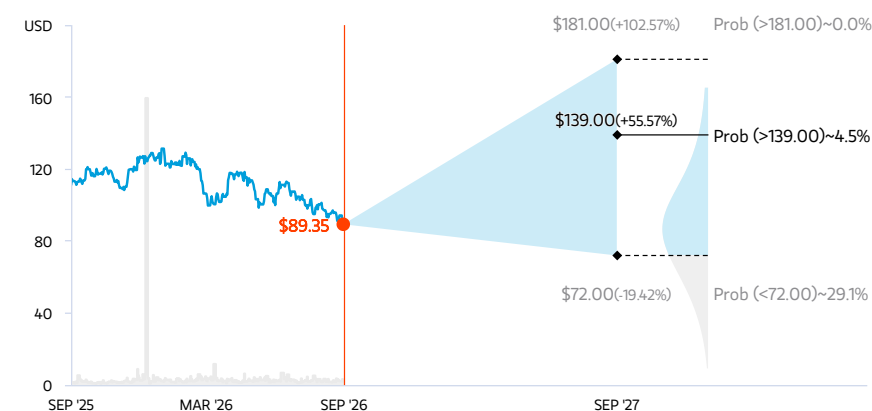
Source: Refinitiv, Morgan Stanley Research



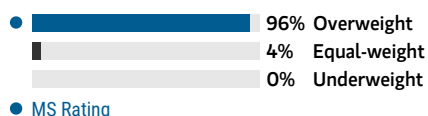
OVERWEIGHT THESIS

Key positives: 1) CRH's aggregates and asphalt business benefits from local markets, supporting pricing and cash flow; 2) the company has a track record of creating value via M&A as well as 3) buybacks; 4) it has large exposure to US infrastructure and 5) a management team that actively pursues value unlock.

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 9 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either 'three-months' or 'one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$181.00

SOTP unlock on portfolio unbundling; M&A

~14.5x EV/EBITDA FY27e. The discount to US peers could close in a scenario of "Rebuild Ukraine", lifting profitability in Europe, with still solid construction trends in the US. We cross check a blended EV/EBITDA to pure play multiples to the SOTP. Americas Materials: ~17x. Americas Building Solutions: ~14.5x. International Solutions at ~10x. Stronger revenue growth overall ~HSD vs base case ~MSD

BASE CASE

\$139.00

Stable medium-term growth; small SOTP discount

EV/EBITDA: ~12x FY27e EV/EBITDA, based on SOTP - a discount to pure play US aggregates players on ~17x, reflecting that CRH is a conglomerate with a global footprint. Note this does not include the impact of the pending Arcosa deal

BEAR CASE

\$72.00

Top line and margin risks, conglomerate discount.

We assume slower total growth, with 2027e revenue ~LSD% vs. the base case ~MSD.. This would coincide with slight margin compression, which we assume prolongs elevated energy cost inflation as a headwind. We apply a ~7.5x EV/EBITDA multiple.

Risk Reward – CRH (CRH.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Organic (%) (%)	(0.7)	3.2	5.2	4.2
Acquisition (%) (%)	4.8	2.4	2.3	2.1
Total Revenue growth (%) (%)	5.3	6.8	7.5	6.4
Adj. EBITDA Margin (%)	20.5	20.8	21.5	22.2

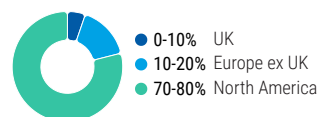
CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
03 Nov 2026 - 09 Nov 2026	Q3 2026 CRH PLC Earnings Release	
16 Feb 2027 - 22 Feb 2027	Q4 2026 CRH PLC Earnings Release	

INVESTMENT DRIVERS

- Cement demand / volumes
- Cement prices
- Aggregate demand and pricing - heavily geared to infrastructure spending
- Cost inflation
- Self-help portfolio optimisation initiatives

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Acceleration of the construction cycle leading to volume/price assumptions that differ from our base case
- US infrastructure spend surprising to the upside
- M&A: prudent allocation of capital
- CRH splitting the US business from the European assets, presenting re-rating potential

RISKS TO DOWNSIDE

- Deceleration of the construction cycle
- US infrastructure spend surprising to the downside
- M&A: poor capital allocation

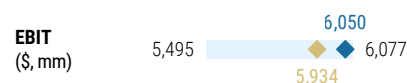
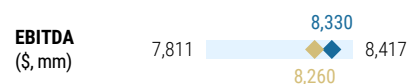
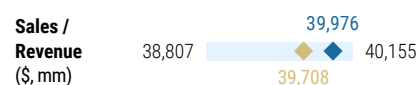
OWNERSHIP POSITIONING

Inst. Owners, % Active	58.3%	
HF Sector Long/Short Ratio	2x	
HF Sector Net Exposure	5.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Morgan Stanley is acting as financial advisor to CRH public limited company ("CRH"), in relation to their definitive agreement to acquire Arcosa, Inc. ("Arcosa"), as announced on June 22, 2026. The transaction is subject to Arcosa shareholder approval, receipt of regulatory approvals and other customary closing conditions. This report and the information provided herein is not intended to (i) provide voting advice, (ii) serve as an endorsement of the proposed transaction, or (iii) result in the procurement, withholding or revocation of a proxy or any other action by a security holder. CRH has agreed to pay fees to Morgan Stanley for its financial services. Please refer to the notes at the end of this report.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

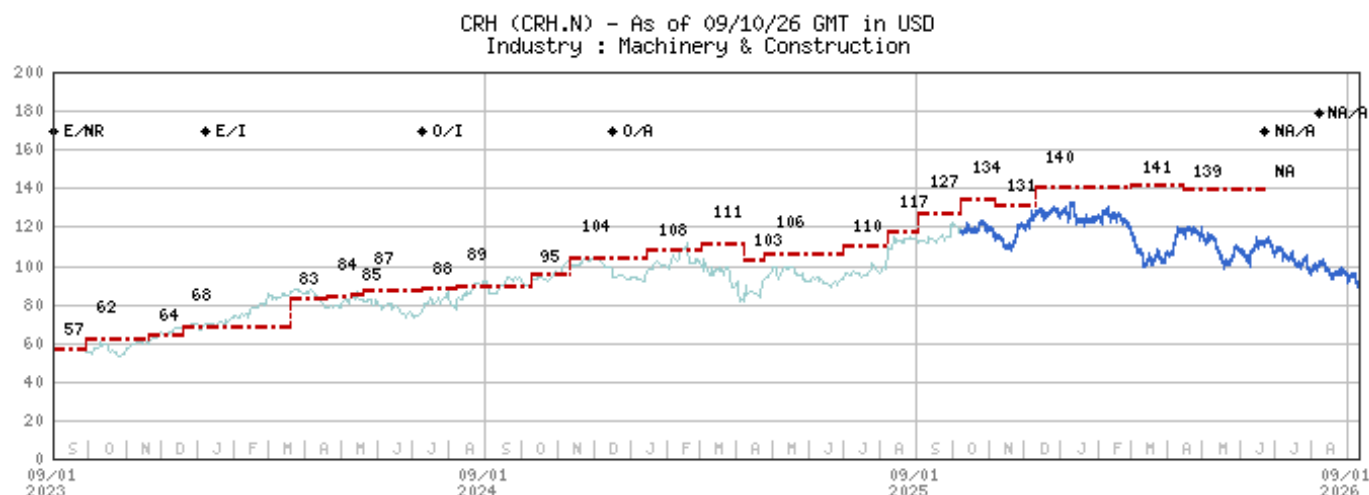
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Machinery & Construction

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/09/2026)
Angel Castillo		
AGCO Corp (AGCO.N)	U (04/16/2025)	\$126.88
Allison Transmission Holdings Inc (ALSN.N)	E (01/08/2024)	\$128.14
Caterpillar Inc (CAT.N)	E (05/01/2026)	\$815.56
CNH Industrial NV (CNH.N)	O (12/17/2024)	\$13.90
CRH (CRH.N)	O (09/11/2026)	\$89.35
Cummins Inc (CMI.N)	O (01/08/2024)	\$554.76
Deere & Co. (DE.N)	O (01/08/2024)	\$677.21
Donaldson Company Inc. (DCI.N)	E (11/24/2025)	\$89.81
ERock Inc (EROC.N)	O (07/06/2026)	\$12.67
ITG Inc (ITG.O)	O (07/27/2026)	\$13.45
Kennametal Inc. (KMT.N)	U (08/10/2026)	\$29.64
Lincoln Electric Holdings Inc (LECO.O)	E (08/10/2026)	\$271.52
Martin Marietta Materials Inc (MLM.N)	O (01/08/2024)	\$502.99
Oshkosh Corp (OSK.N)	E (01/08/2024)	\$152.04
PACCAR Inc (PCAR.O)	E (04/16/2025)	\$121.88
Target Hospitality Corp. (TH.O)	O (08/17/2026)	\$19.20
Terex Corp. (TEX.N)	O (12/10/2025)	\$61.90
Timken Co (TKR.N)	O (12/17/2024)	\$119.05
United Rentals Inc. (URI.N)	O (04/16/2025)	\$1,028.77
Vulcan Materials Company (VMC.N)	E (01/08/2024)	\$249.89
Westinghouse Air Brake Technologies Corp (WAB.N)	O (01/08/2024)	\$280.47
WillScot Holdings Corporation (WSC.O)	E (11/12/2025)	\$19.36

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* Historical prices are not split adjusted.